

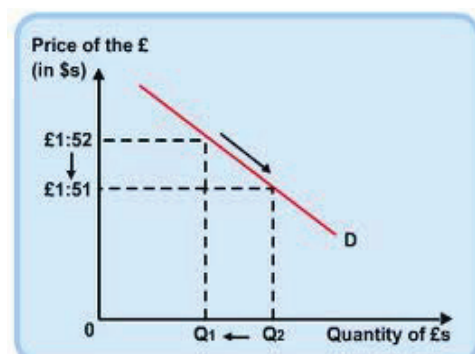
Exchange rate

It is the rate at which a country's currency is exchanged with other country's currency i.e. number of units of foreign currency that can be bought with one unit of domestic currency. It means that it is the price of one unit of a currency in terms of units of the other currency. For example, if the exchange rate of pound in terms of dollars is $\$2 = \pounds 1$, then the price of one pound is two US dollars.

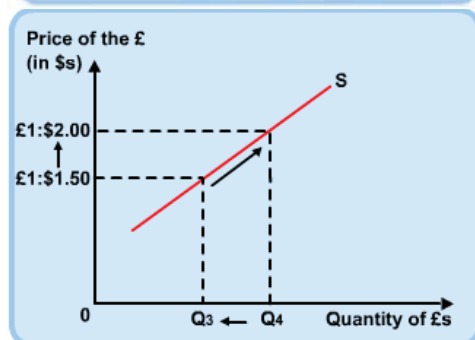
A fall in this exchange rate shows that the exchange value of pound has fallen, e.g. if the ER becomes $\$1.5 = \pounds 1$, it means that a pound can now be exchanged with lesser number of dollars than before. When a currency depreciates, the domestic goods become more competitive in foreign market i.e. foreigners find our goods cheaper in terms of their currencies, e.g. if UK pound depreciates from $\$2 = \pounds 1$ to $\$1.5 = \pounds 1$, then a UK good priced at $\pounds 10$ will cost $\$15$ rather than $\$20$ to a US importer of UK goods. At the same time imports become less competitive in domestic market i.e. domestic importers of US goods will find US goods more expensive in terms of pounds e.g. a US good priced at $\$10$ will cost $\pounds 6.66$ rather than $\pounds 5$ to a UK importer of US goods.

On the other hand, an increase in the ER shows that the exchange value of pound has increased, e.g. if the ER becomes $\$2.5 = \pounds 1$, it means that a pound can now buy greater number of dollars than before. This is called appreciation of pound against dollar. When a currency appreciates, the domestic goods and services become less competitive in foreign market and imported goods become more competitive in domestic market i.e. exports become expensive in terms of foreign currency and imports become cheaper in terms of domestic currency.

Demand for currency: The demand for currency is the quantity of a currency demanded at a particular exchange rate. A demand curve of currency therefore, shows a negative relationship between the price of one unit of the currency (ER) and the quantity of currency demanded.



Supply of currency: The supply of currency is the total quantity of currency which the holders of currency are willing to sell at a particular exchange rate. A supply curve of currency therefore, shows a positive relationship between ER and the quantity of currency supplied.

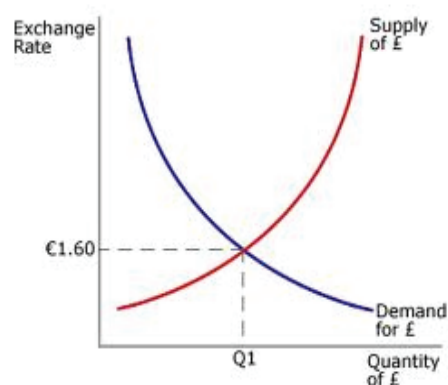


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Factors affecting freely floating exchange rate

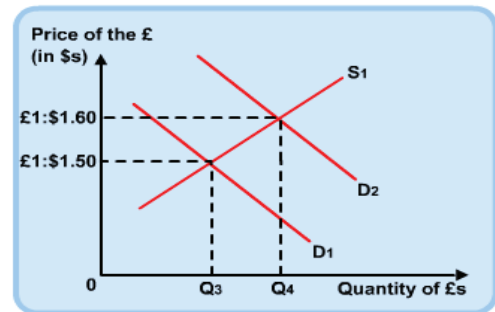
1. Changes in the balance of trade in goods and services
If the UK imports a greater value of goods and services than it exports there is said to be a current account deficit. If the deficit increases further it means the UK is buying more imports or losing its exports trade. As a result, more pounds must be supplied to pay for the imports, while less pounds are demanded by overseas residents because they are buying less of UK exports. As a result, the price of pound will depreciate.
If, on the other hand, the UK earns more from its exports than it pays for its imports its current account will be in surplus. More pounds will be demanded to pay UK exports while the UK will not supply so many pounds as it buys less imports. The value of the pound will appreciate.
2. Inflation and ER (explained later) page 7 - It increases the supply of our currency and decreases the demand for our currency
3. Interest rate and ER (explained later) page 8
4. Speculation: A foreign currency speculator is a person or firm for e.g. a bank, which tries to make money by buying and selling foreign currencies to try speculative gains. For example, if speculators think the value of pound is going to fall, because for example, UK interest rates may go down, they may sell pounds and buy other currencies. This increase in the supply of pounds reduces their value. The speculators can then buy back pounds at a cheaper price. This difference between the prices they sold pounds for and the price they buy them back for is their profit.

Floating exchange rate system: In this system the price of one currency in terms of another currency is determined by the forces of demand and supply of currency without any official intervention. Equilibrium ER is determined at a point where the demand and supply of currency are equal. At this point, the total demand for currency at a particular exchange rate by the holders of foreign currencies is equal to the quantity of domestic currency which the holders are willing to sell at that exchange rate to buy other currencies.

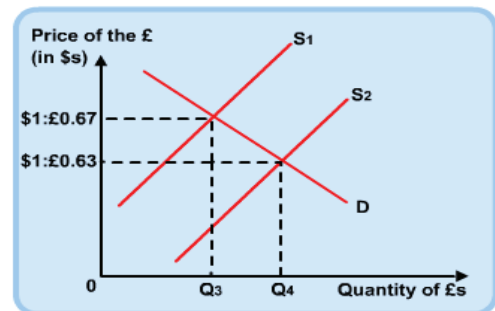


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The demand for £ comes from people who are investing in the UK from abroad so they need pounds, or from firms who are buying UK exports. They will need pounds to be able to pay for the goods. The supply comes from people in the UK who are selling pounds. This may be because they have bought goods from overseas (imports), or it may simply be that they are investing in another country and so need the local currency. To get this they have to sell pounds in exchange for the other currency.



The equilibrium rate is where supply is equal to demand, and this will change as supply and demand changes. Say, for example, that interest rates increase. This will tend to attract more overseas investment into the UK. To invest here, they will need to buy pounds, and so the demand for pounds will rise.



Advantages of floating ER system:

1. It automatically eliminates the BOP disequilibrium: If a country faces a current account deficit then the outflows of currency exceed the inflows of currency. This means that the supply of domestic currency exceeds the demand and since there is a floating ER system, the excess of supply of domestic currency will lead to a fall in the ER, this will make the domestic exports cheaper in terms of foreign currency and imports will become expensive in terms of home currency causing export demand to rise and import demand to fall and the current account deficit will start reducing. But whether the deficit will eliminate or not will depend on the elasticity's of demand for exports and imports.
2. Reduced need for currency reserves: In a floating ER system adjusts itself to take care of the BOP disequilibrium. If there is a deficit, the currency depreciates to adjust the deficit and if there is a surplus then the currency appreciates to adjust the surplus.

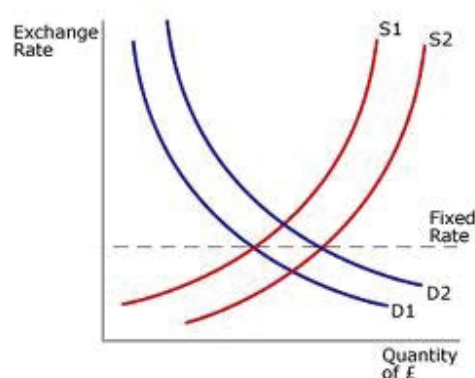
Since there is no exchange rate target, so there is little requirement for a central bank (e.g. the Bank of England) to hold large scale reserves of gold and foreign currency to use in possible official intervention in the markets.

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Disadvantages of floating ER system:

1. **Uncertainty:** The biggest disadvantage of floating exchange rate system is the uncertainty that it creates for the traders. This reduces the level of investments, the level of international specialization and hence the world output and trade also fall. Producers will not be able to carry out long term contracts and output targets. Importers will be uncertain about their expenditures on imports and exports will be uncertain about their export revenue.
2. Due to fluctuations in the ER under a floating ER system, there are greater chances of speculative activity. These speculative elements will give greater swings to ER making them more volatile.

Fixed exchange rate system: A fixed exchange rate system is a system where the exchange rate has a set value against another currency i.e. the monetary authorities fix the value of domestic currency against the foreign currency (e.g. \$). For much of the post-war period sterling was fixed against the dollar and it was only floated in 1972 when a fixed rate became unsustainable. To maintain a fixed exchange rate, the government needs to have a significant level of foreign currency reserves.



A fixed exchange rate does not keep it at the fixed rate. If, for example, there was an increase in demand for the currency, this would normally lead to exchange rate increasing. However, the exchange rate is fixed and so the authorities have to counter the effect of the increase in demand. They do this by supplying more of the currency. In other words they sell sterling and buy other currencies instead.

To maintain the exchange rate, the government had to sell sterling and buy foreign currency, therefore increasing their holdings of foreign currency. Example of fixed ER system is the Bretton Woods system which was set up after the Second World War to promote stability and help countries in the world that had persistent trade imbalances. The IMF (international monetary fund) was set up to oversee the system. Every country chooses its own initial exchange rate. This was done by choosing the number of units of their currency that they were prepared to exchange for an ounce of gold, valued at \$35. This is why the dollar was the currency in which all other currencies were expressed.

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In any one year, a country's currency could move +1% against the chosen rate. Countries with severe and persistent current account deficits were allowed to devalue their currency and countries with persistent surpluses could revalue their currency, as long as the IMF agreed that the BOP were in fundamental disequilibrium. Hence, exchange rates were fixed, but not totally fixed. The system became known as the adjustable peg system.

Advantages of fixed exchange rate system:

1. Stability: Some economists would argue that this is the most significant advantage. If exchange rates are stable over a given period of time, exporting firms will be able to plan ahead without worrying about huge swings in the value of the pound eliminating their profit margin. This will encourage more investment and trade between countries, both of which are important if economies are to grow in the long term.
2. Avoid speculation: Theoretically, fixed exchange rates should eliminate speculation because there is no point buying and selling currencies that will not change in value.

Disadvantages of fixed exchange rate system:

1. The loss of monetary policy: In a fixed exchange rate system countries cannot adopt policies which could affect the exchange value of currency. So countries lose their liberty in adopting the monetary policy and they just have to rely on fiscal measures i.e. government expenditures and taxes to achieve macroeconomic objectives.
2. The need for a large pool of reserves: To maintain the value of domestic currency within the fixed ER system, the government had to have a large pool of foreign reserves with which to buy the domestic currency when it tends to depreciate. Apart from being expensive, some countries may find it hard to get their hands on sufficient stocks of reserve to support their currency. One of the main jobs of the IMF in the Bretton Woods system was to help poor countries in times of trouble and lend them reserves when they were short.
3. Problems of uncompetitiveness: With a freely floating currency, a deteriorating trade situation should automatically cause the pound to fall, which, in turn, would improve the competitiveness of British exporters and improve the trade balance. Economics stuck in a fixed exchange rate system with a deteriorating trade balance may feel that they joined the system at too high an exchange rate. Although they may be allowed to devalue eventually, the exchange rate may be at the wrong rate for significant periods of time. This can cause permanent job losses and recession.

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Inflation and the exchange rate: Inflation is an important factor affecting the exchange rate. If the rate of inflation in the domestic country exceeds the rate of inflation in the other countries then the relative export prices will increase making domestic goods less competitive in international market. This will lead to a fall in the demand for domestic exports and as result the foreign buyer will demand lesser quantity of our currency leading to a leftward shift in the demand curve for domestic currency. This will reduce the exchange rate or the domestic currency will depreciate.

On the other hand the relative import prices will decrease making imports more competitive in domestic market. This will lead to an increase in the demand for imports and the domestic importers will supply more of domestic currency to pay for additional imports causing a rightward shift in the supply curve of domestic currency and the exchange rate falls further.

Interest rate and the exchange rate: A difference in the rates of interest between countries is one of the main causes of flows of investments between countries. If the rate of interest in the domestic economy increases by a greater proportion than elsewhere, foreign investors will find it more profitable to invest leading to an inflow of foreign investments. These investments are in terms of foreign currency and are then converted into domestic currency to be investment in the domestic economy. This will lead to an increase in the demand for domestic currency leading to a rightward shift in the demand curve and hence the ER increases or the domestic currency appreciates.

On the other hand, higher domestic rate of interest will make the domestic residents to call back their investments from abroad and will save more by purchasing interest earning assets. This will reduce the supply of money causing the ER to increase further.

ADVANTAGES of an appreciation in the currency

1. Cheaper imports for consumers: An appreciation of domestic currency lead to lower import prices, this boosts the real living standards of consumers at least in the short run.
2. Lower costs for producers: When the exchange rate is high, it is cheaper to import raw materials, component parts and capital inputs such as plant and equipment – this is good news for businesses that rely on imported components or who are wishing to increase their investment of new technology from overseas countries.
3. Lower inflation: A strong exchange rate helps to control inflation because domestic suppliers now face stiffer international competition from cheaper imports and will look to cut their costs and prices accordingly in order not to suffer from a loss of

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international competitiveness, cheaper prices of imported foodstuffs and beverages will also have a negative effect on the rate of consumer price inflation.

DISADVANTAGES of a strong currency (appreciation)

1. Increase in the trade deficit: The lower price of imports leads to consumers increasing their demand and this can cause a large trade deficit. Exporters lose price competitiveness because they will find it more expensive to sell in foreign markets and face losing market share - this can damage profits and employment in some sectors and industries.
2. Slower economic growth: If exports fall, this causes a reduction in aggregate demand and reduces the short-term rate economic growth as measured by the % change in real GDP. Some regions of the economy are affected by this more than other depending on the location of firms producing goods meant for exports.
3. If exports fall, then so will business confidence and capital investment - because investment is partly dependent on the strength of demand.

THE EFFECTS OF DEPRECIATION IN THE CURRENCY: A depreciation of the domestic currency means that its value reduces against the foreign currency. The economic effects of a depreciation of domestic currency take time to happen - economists say that there are time lags between a change in the exchange rate and changes in, for example, inflation and the BOP. Below are the main economic effects of a lower value for the domestic currency:

1. Inflation: A fall in the exchange rate makes imported goods and services more expensive in the domestic country. Producers may then pass on higher costs of imported components and raw material onto consumers. This causes extra "cost push" inflation. Wages may rise in response to this triggering off the possibility of a wage-price spiral. The extent to which a depreciation of the pound causes inflation depends in part on how dependent producers are for their imported components and also their willingness to price to the market and pass on costs to consumers.
2. Exports and balance of payments: Exporters should benefit from a depreciation of domestic currency. Depreciation makes domestic goods cheaper prices in a foreign currency. Demand for exports will grow faster if the demand for domestic goods overseas is elastic.
3. Imports: The demand for imports should fall as imports become more expensive. However, some imports are essential for production or cannot be made in the

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domestic economy and have an inelastic demand - we end up spending more on these when the exchange rate falls in value.

QUICK REVIEW

Advantages of a floating exchange rate system:

- the rate will be determined continually through market forces, so the government doesn't have to intervene
- there is no need to hold large amounts of reserves
- government is not committed to maintaining a particular external value of the currency and so can focus on other objectives

Disadvantages of a floating exchange rate system:

- it can fluctuate a great deal and this volatility can make it very difficult for firms to plan ahead
- there can be speculative pressures on the currency

Advantages of a fixed exchange rate system:

- less volatility in the exchange rate so less instability
- makes planning/forecasting easier and so less uncertainty
- could encourage investment/trade, having a positive effect on the economy
- avoids speculative movements in exchange rate

Disadvantages of a fixed exchange rate system:

- requires government to hold large reserves
- if the rate cannot be maintained, there will be a dramatic change in value through a devaluation